India & Uruguay: Strengthening Partnership, Shaping Shared Growth

Confidential and Proprietary
October 2026

Foreword

Uruguay occupies a distinctive position within South America's economic landscape. As one of the region's most stable and institutionally developed economies, home to roughly 3.4 million people, a highly urbanised population, strong human-development indicators, and abundant agricultural and renewable-energy resources, the country holds long-term promise across agribusiness, food processing, forestry, renewable energy, logistics, pharmaceuticals, information technology and services. At the same time, its relatively small domestic market, dependence on commodity exports, exposure to regional economic conditions and comparatively high operating costs temper the pace at which this potential translates into realised opportunity, shaping a market where stability and quality of institutions coexist with the constraints of scale.

India and Uruguay have maintained friendly and steadily expanding bilateral relations, supported by political dialogue, cooperation in multilateral forums and growing commercial engagement. Trade between the two countries has historically remained modest and concentrated in selected sectors, with Indian exports including pharmaceuticals, chemicals, machinery, textiles and manufactured products, while Uruguay offers opportunities in agricultural commodities, food products, wood and forestry products, wool and other natural resources. The underlying complementarities nonetheless remain significant: India's strengths in pharmaceuticals, information technology, automobiles, agricultural machinery, renewable energy, digital services and manufacturing align with Uruguay's demand for technology, investment and value-added solutions, while Uruguay's sophisticated agribusiness, food-processing and logistics ecosystem offers Indian companies potential opportunities for sourcing, investment and access to wider Latin American markets.

Looking ahead, this paper outlines a practical set of initiatives through which CCI India can support Indian businesses in engaging with Uruguay in a manner appropriate to current conditions whether through sector-specific market intelligence, structured business matchmaking, identification of credible local partners, or institutional dialogue with Uruguay's relevant ministries, investment-promotion institutions and national chamber of commerce that can be scaled as specific opportunities mature. This Knowledge Paper examines, in a structured and evidence-based manner, the current state of Uruguay's economy, its priority sectors, and the opportunities and constraints shaping India–Uruguay economic engagement, serving as a reference for CCI India's engagement with the Embassy of India in Montevideo, Uruguayan stakeholders, and Indian companies assessing the market.



Munindra Kumar
Director General
CCI INDIA

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

Table of Contents

1. Uruguay: Economic Profile and Business Environment 9
   1.1 Country overview 9
   1.2 Structure of the economy 9
   1.3 Institutions and governance 9
   1.4 Trade orientation 9
   1.5 Business environment summary 10
   1.6 Trade basket 10
2. Strategic Context of India–Uruguay Relations 10
   2.1 Shared values and diplomatic ties 10
   2.2 The Mercosur dimension 10
   2.3 Technology and development cooperation 11
   2.4 Multilateral convergence 11
   2.5 Dimensions of the relationship 11
   2.6 Strategic logic 11
3. India: Capabilities Relevant to Uruguay 12
   3.1 Pharmaceuticals and healthcare 12
   3.2 Vehicles, machinery and industrial goods 12
   3.3 Information technology and digital public infrastructure 12
   3.4 Renewable energy and green hydrogen 12
   3.5 Demand for forest and agricultural products 12
4. Trade Framework, Baseline and Utilisation 13
   4.1 The preferential arrangement 13
   4.2 Other instruments 13
   4.3 Baseline 13
   4.4 Market-access considerations 14
   4.5 Sources of growth 14
   4.6 Goals 14
5. Agro-Food, Livestock and Speciality Products 15
   5.1 Uruguay's agro-industrial strengths 15
   5.2 Opportunities for Uruguayan products in India 15
   5.3 Opportunities for Indian products in Uruguay 15
   5.4 Mutual learning 15
   5.5 Quality and compliance 16
6. Forest Products, Pulp and Wood 16

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

6.1 A major export sector 16
6.2 Indian demand 16
6.3 Investment dimensions 17
6.4 Sustainability and certification 17
7. Pharmaceuticals, Health and Life Sciences 17
7.1 Market context 17
7.2 Regulatory pathway 17
7.3 Opportunities 17
7.4 Challenges 18
8. Vehicles, Machinery and Industrial Goods 18
8.1 Market features 18
8.2 Product categories 18
8.3 Standards and homologation 19
8.4 After-sales and finance 19
9. Renewable Energy and Green Hydrogen 19
9.1 An energy-transition leader 19
9.2 India's green-hydrogen ambitions 19
9.3 Cooperation areas 19
9.4 Practical considerations 20
10. Information Technology and Digital Government 20
10.1 Complementary digital ecosystems 20
10.2 Cooperation areas 20
10.3 Nearshore logic 21
10.4 Regulatory aspects 21
11. Fintech, Payments and Business Services 21
11.1 Opportunity 21
11.2 Opportunity areas 21
11.3 Regulation 22
12. Free Zones, Regional Gateway and Mercosur Access 22
12.1 The free-zone model 22
12.2 Using Uruguay as a base for Mercosur 22
12.3 Limits 23
13. Education, Tourism and People-to-People Links 23
13.1 Education and research 23
13.2 Tourism 23

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

13.3 Cultural links 23
14. Logistics, Shipping and Connectivity 24
14.1 Distance and routes 24
14.2 Route and port options 24
14.3 Cost and time levers 24
14.4 Inland connectivity 25
15. Trade Finance, Payments and Currency 25
15.1 Payment architecture 25
15.2 Instruments 25
15.3 Currency 25
15.4 Development finance 25
16. Taxation, Legal and Compliance Framework 26
16.1 A strong legal environment 26
16.2 Taxation and treaties 26
16.3 Core compliance elements 26
16.4 Contract and dispute-resolution practice 26
16.5 Investment protection 27
17. Investment Promotion and Funding Vehicles 27
17.1 Investment climate 27
17.2 Target investment themes 27
17.3 Entry modes 28
17.4 Investor-facilitation desk 28
18. Institutions, Diplomacy and Business Networks 28
18.1 Institutional architecture 28
18.2 A bilateral business council 28
18.3 Delegations and events 29
18.4 Information platform 29
19. Skills, Language and Human Capital 29
19.1 Language and cultural competence 29
19.2 Skills priorities 29
19.3 Programme models 30
20. Sustainability, Climate and Responsible Business 30
20.1 A shared sustainability agenda 30
20.2 Principles 30
20.3 ESG screening 30

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

20.4 Green finance.....31
20.5 Sustainable Supply Chains and Resource Efficiency.....31
20.6 Carbon Markets and Climate-Related Opportunities.....32
Conclusion.....34

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

URUGUAY

“ Enjoy calm beaches and a relaxed lifestyle



Basic Facts, Demographics, and Monetary System: Uruguay, is the second-smallest country in South America, covering 176,215 sq. km, with Montevideo as its capital. It has a population of about 3.5 million in 2024, with over 95% living in urban areas. Spanish is the official language, and the national currency is the Uruguayan Peso.

Economy and GDP

Uruguay has one of the most stable and prosperous economies in Latin America, valued at around USD 80–82 billion in 2024, with a nominal GDP of approximately USD 82 billion and GDP per capita of about USD 23,000. Its economy is driven by agriculture, livestock, agro-industry, forestry, tourism, logistics, IT, and financial services. Uruguay is also a global leader in renewable energy, generating over 95% of its electricity from renewable sources.

Bilateral Trade and Economic Ties with India

India and Uruguay share growing economic relations supported by trade, investment cooperation, and diplomatic engagement. Key sectors of collaboration include pharmaceuticals, IT services, renewable energy, agriculture, agro-technology, machinery, and education. Uruguay also serves as an important gateway for Indian businesses seeking access to MERCOSUR markets.

Bilateral Trade with India (in Billions)

India–Uruguay bilateral trade in FY 2023–24 reached approximately USD 300–350 million (about USD 0.30–0.35 billion). India exports pharmaceuticals, automobiles, machinery, chemicals, textiles, and processed foods to Uruguay, while importing wool, leather, cellulose pulp, wood products, and agricultural goods.

Culture and Heritage

Uruguay's culture reflects strong European influence, especially from Spanish and Italian traditions, blended with local customs and regional identity. The country is known for its literary heritage, music, tango influences, historic architecture, and progressive social values that shape its national character.

Economic Ties

Economic ties between India and Saint Kitts and Nevis are cordial and steadily developing, supported mainly through trade in pharmaceuticals, machinery, vehicles, textiles, and other manufactured goods. India serves as an important supplier of affordable medicines and industrial products that meet the federation's healthcare, transport, and consumer market needs. Although the scale of bilateral trade remains modest due to the small size of Saint Kitts and Nevis' economy, the relationship holds growing potential in sectors such as renewable energy, tourism infrastructure, digital services, and healthcare support. Both countries also cooperate through Commonwealth frameworks and international forums, which strengthen diplomatic and commercial engagement while creating opportunities for future investment and



Import and Export from India

India exports a wide range of products to Uruguay, including pharmaceuticals, two-wheelers, automobiles, machinery, iron and steel goods, chemicals, plastics, textiles, garments, rice, and processed food items. In return, India imports wool, leather, cellulose pulp, wood products, chemicals, minerals, and agricultural goods from Uruguay. This exchange highlights a complementary trade relationship, where manufactured goods from India balance Uruguay's resource- and agriculture-based exports.

Culture and People-to-People Ties

India and Uruguay maintain warm people-to-people ties through cultural exchange, education, tourism, and training programs such as ITEC. Indian culture—including Bollywood, yoga, meditation, and cuisine—is gaining popularity in Uruguay, while academic cooperation, cultural events, and growing tourism exchanges continue to deepen friendship between the two nations.

1. Uruguay: Economic Profile and Business Environment

1.1 Country overview

Uruguay is a small country of roughly three and a half million people on the Atlantic coast of South America, bordered by Argentina and Brazil. It is classified as a high-income economy, with a comparatively equal income distribution, high literacy and strong social institutions. The capital, Montevideo, is home to about half the population and to the principal port, financial and technology activity.

1.2 Structure of the economy

Agro-industry: beef, soybeans, rice, dairy, wool, citrus, honey and forestry products, much of it exported.

Forest products: large-scale plantation forestry and pulp mills among the country's largest exporters.

Services: tourism, logistics, financial services, software and business services.

Manufacturing: food processing, beverages, chemicals, and pharmaceuticals.

Energy: electricity generated almost entirely from renewable sources, mainly wind, hydropower, biomass and solar.

1.3 Institutions and governance

Uruguay is regarded as one of the region's most stable democracies, with strong rule of law, low corruption by regional standards and predictable regulation. It has earned investment-grade credit ratings and a reputation for transparency in financial and tax matters. These strengths make it attractive for long-term investment and for regional headquarters.

1.4 Trade orientation

Uruguay is a highly open economy. Principal export destinations include China, Brazil, the European Union and the United States, and exports are concentrated in commodities. As a Mercosur member, it applies the common external tariff, with certain exceptions, and participates in the bloc's agreements. It also hosts free-trade zones that offer fiscal and operational incentives for logistics, services and manufacturing.

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003